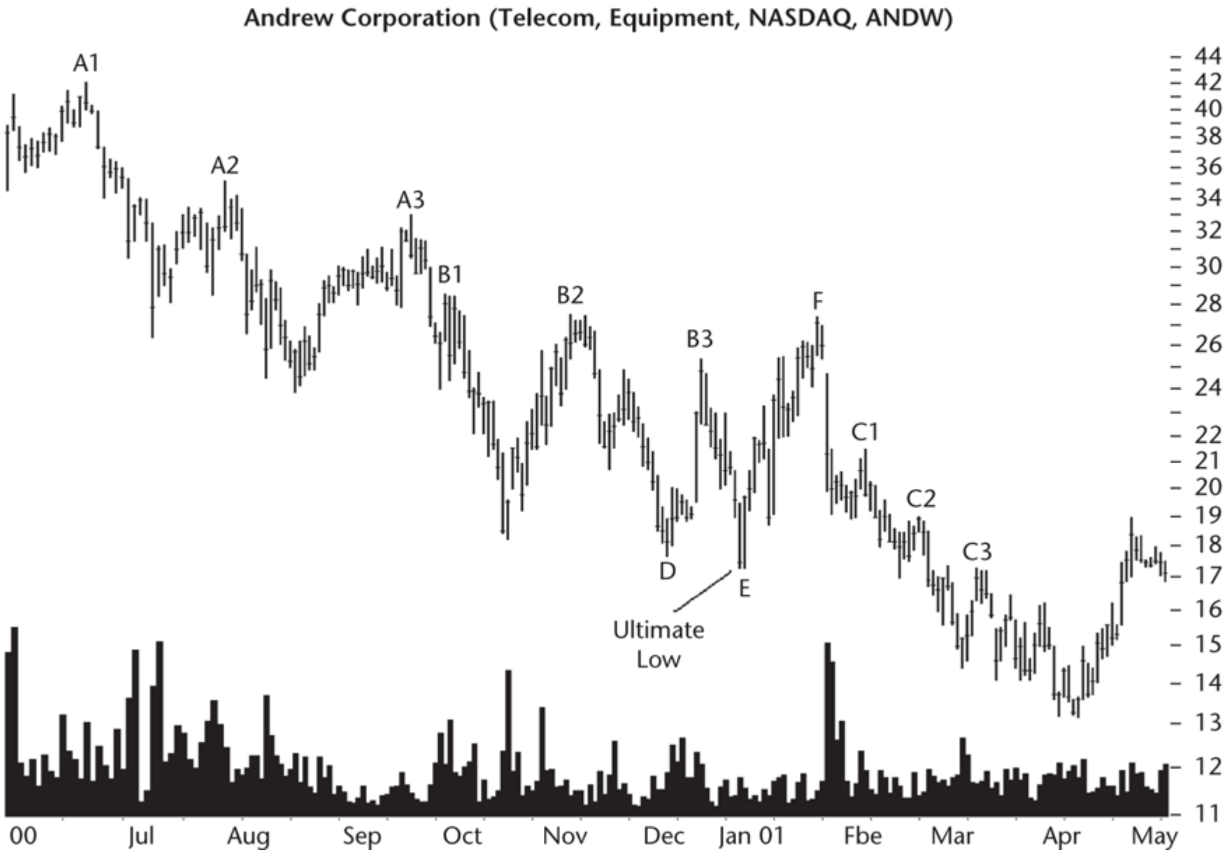

Figure 61.4 After declining just 2% below point D, the stock rallies 58% from E to F, signaling a trend change.

The lesson from this figure is twofold. First, the best trades often come after trend changes. The lower down the trend the three falling peaks pattern appears, the less potential profit remains.

That is not always the case because of how I determine a trend change (a 20% rise off the ultimate low). The ultimate low, as in this case, can appear in the middle of a downtrend, not at the very end. Still the guideline is a good one. The rise to F signaled a trend change, making E the ultimate low.

Second, always search for underlying support before trading, especially if you intend to short a stock. Once you place a trade, use a stop-loss order to protect your money.

Pattern C is a valid three falling peaks, and the ultimate low just squeaks by, with a decline of 9%. It's not a failure, but I wouldn't bring it home and tell Mom I'm going to marry it.